

Republicans slim favorites in Senate race

送信者: EG Daily Brief 受信日時: 2026-09-09 21:11

[【メール原文】](#)

The Senate race remains extremely close, with the Republicans the slim favorites only because they need to win fewer toss-up races than the Democrats |||||

Daily Brief

[Customize Email Preferences](#)

Republicans remain slim favorites in Senate race

9 Sep 2026 08:04 EDT [Discover more on the Portal](#)

summary

*

The Senate race remains extremely close, with the Republicans the slim favorites only because they need to win fewer toss-up races than the Democrats do.

*

Treasury Secretary Scott Bessent will likely change course on his attempt to lower long-term US yields as the limits of his toolkit's effectiveness become apparent.

*

The continuing conflict in the Middle East will push oil prices into a higher \$85-\$105 per barrel range.

*

In Poland, Prime Minister Donald Tusk's Civic Coalition party is likely to win the autumn 2027 parliamentary elections.

*

Countries and sectors in this edition of the Daily Brief include the US, Brazil, Poland, Iran, oil, geoeconomics, and geo-technology.

the top line

US—Republicans retain razor-thin lead in Senate race

*

The race for the Senate remains extremely close, with Republicans holding the slimmest edge at 55% odds in a contest that will come down to the wire.

*

Strong Democratic candidates running against lackluster Republican campaigns make Ohio and Texas serious Republican vulnerabilities, while Alaska presents another real Democratic pickup opportunity, albeit one that will be hard to track given sparse polling and the complexities of ranked-choice voting. Republicans remain the favorites only because they need to win fewer toss-up races than do Democrats.

*

The three key signposts to watch in the coming weeks are the generic congressional ballot, President Donald Trump's approval rating, and Democratic leads in individual races, any of which could trigger a reassessment of the overall outlook if they shift meaningfully.

*

Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Goeconomics, US—Chart of the Day: US Treasury's toolkit to try to lower yields

*

Bessent will likely change course on his attempt to lower long-term US yields as the limits of his toolkit's effectiveness become apparent.

*

Bessent can still lean on the tools Treasury fully controls—including shifting more issuance toward short-term debt, buying back more long bonds, and intervening again in currency markets—but they are unlikely to significantly lower long-term yields.

*

The administration would gain little from escalating to financial repression, pressure on the Federal Reserve, or coercion of foreign holders, as these measures are unlikely to work and could ultimately raise the premium investors demand to hold Treasuries.

*

Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Oil—Crude prices exceed \$100 as Middle East conflict drags on

*

The continued standoff between the US and Iran, together with the ongoing Russia-Ukraine and Saudi-Houthi wars, will push Brent crude prices into a higher \$85-\$105 per barrel range.

*

China's oil demand may be recovering, adding further pressure on crude prices. China has curtailed imports by 3.5 million barrels per day since February, choosing to draw from crude inventories rather than expose domestic refiners to higher prices.

*

Over the longer term, however, the electrification of global transportation will reduce oil demand.

*

Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Poland—Division on the right positions Tusk for likely 2027 victory

*

Tusk's Civic Coalition (KO) party is likely to win the autumn 2027 elections (60% probability), but forming a government will be difficult as KO's smaller coalition partners risk falling below the parliamentary threshold.

*

Voter concerns about migration, support for Ukraine, and the cost of living will benefit the opposition, but the ongoing fragmentation on the right will favor Tusk.

*

A right-wing win—40% odds for the main opposition Law and Justice party—would mark a significant setback for the rule of law in Poland and put Warsaw on a collision course with Brussels.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

Global Macro, Geo-technology—The AI jobs backlash is arriving before broad job losses

*

Generative AI has not displaced American workers in aggregate, and significant workforce displacement is unlikely before 2028.

*

Labor market adjustment is running through hiring rather than firing, but over time, the squeeze could spread to mid-tier roles where value is output rather than judgment.

*

The political backlash is already running ahead of the evidence and will shape regulation regardless of the labor market outcome.

*

Read more here . Reach out to discuss: globalmacro@eurasiagroup.net .

upcoming conference calls

*

9 September 12:00 PM ET—Brazil update. Register here .

eg in depth

US—Semiconductor tariffs likely to be further delayed: The renewed debate on semiconductor tariffs, with Commerce Secretary Howard Lutnick reportedly pushing for action, likely reflects a July milestone in the ongoing Section 232 investigation rather than a shift in policy direction. Any tariff push will probably lose momentum in the short term, as Lutnick's influence on White House technology policy appears constrained and an upcoming summit between presidents Trump and Xi Jinping discourages provocative moves in this area. If the US eventually does impose semiconductor tariffs, the framework agreement with Taiwan would be the likely template, though key questions on tariff offsets remain unresolved. Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Brazil—Tightening polls make Lula's approval the key indicator to watch: A corruption-heavy news cycle is eroding President Luiz Inacio Lula da Silva's approval, now at 44% from a high of 47% in June, putting his 55% reelection odds at risk. Lula's incumbency advantages—state machinery, program announcements, and seven weeks of remaining campaign—keep him a slim favorite even as polls show him in a statistical tie with Senator Flavio Bolsonaro. Three variables will shape the race: Lula's approval trajectory, the effectiveness of each campaign's messaging, and whether new corruption allegations against Bolsonaro materialize. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

*

9 September: Events: Republicans open their national midterm convention in Dallas (through 10 September), the US Treasury begins expanded buybacks of longer-dated bonds (through 4 November); Central bank decision: Poland.

*

10 September: Events: OPEC Monthly Oil Market Report; Data: Argentina CPI, South Africa current account, US PPI and existing home sales. Central bank decisions: Eurozone, Peru, and Turkey.

*

11 September: Data: Brazil CPI, Japan PPI, Russia CPI and trade, US CPI, University of Michigan consumer sentiment, and federal budget balance; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"I am the house now...You can bet against me if you want."—Bessent said at an event in Texas on 8 September, warning traders not to bet against the yen.

EG Daily Brief

DailyBrief@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmtu05z228crt07mzl44f4t2k

[Opt Out](#) | [Customize Email Preferences](#)